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FINALTERM EXAMINATION
MGT101- Financial Accounting

Question No: 1 (Marks: 1) - Please choose one

Word “Credit” is derived from _____ language.

- ► Latin
- ► English
- ► French
- ► Chinese

Question No: 2 (Marks: 1) - Please choose one

What is the nature of an expense account?

- ► Debit
- ► Credit
- ► Revenue
- ► None of the given options

Question No: 3 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

- ► Account
- ► Voucher
- ► Journal
- ► Trial balance

Question No: 4 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

- ► Negative Balance
- ► Debit Balance
- ► Positive Balance
- ► Credit Balance

Question No: 5 (Marks: 1) - Please choose one

Which of the following organizations do **NOT** prepare Income & Expenditure account?

- ► Public limited companies
- ► Private limited companies
- ► Partnership firms
- ► All of the given options

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

- ► Vehicle account
- ► Cash account
- ► Business account
- ► Bank account

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

- ► Rs. 5,000
- ► Rs. 25,000
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

- ► Profit and loss account
- ► Balance sheet
- ► Statement of financial position
- ► All of the given options

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► Conversion cost
- ► Sunk cost
- ► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

- ► Name of organization
- ► Bank receipt

- ► Debit amount
- ► Credit amount

Question No: 11 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

- ► Book-keeping
- ► Accounting
- ► Auditing
- ► All of the given options

Question No: 12 (Marks: 1) - Please choose one

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► Physical wear and tear
- ► All of the given options

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

- ► Bad debt recovered a/c
- ► Cash a/c
- ► Doubtful debts a/c
- ► Bad debts a/c

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

- ► Rs. 400
- ► Rs. 800
- ► Rs. 2,000
- ► Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.

Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

- ► Rs. (5,100)
- ► Rs. 5,100
- ► Rs. (900)
- ► Rs. 900

Question No: 16 (Marks: 1) - Please choose one

On which of the following system control accounts are based?

- ► Double entry book keeping system
- ► Single entry book keeping system
- ► Cash accounting system
- ► All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

- ► Discount Received (Dr) and Creditors Control A/c (Cr)
- ► Discount Received (Dr) and Creditors A/c (Cr)
- ► Creditors Control A/c (Dr) and Discount Received (Cr)
- ► Creditors A/c (Dr) and Discount Received (Cr)

Question No: 18 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

- ► Rs. 1,000
- ► Rs. 9,000
- ► Rs. 10,000
- ► Rs. 11,000

Question No: 19 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

- ► A's account (Dr.) and B's account (Cr.)
- ► B's account (Dr.) and A's account (Cr.)
- ► Sales account (Dr.) and B's account (cr.)
- ► B's account (Dr.) and Sales account (Cr.)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr."A" Rs. 336 was not recorded at all?

- ► Only sales account
- ► Only A's account
- ► Only cash account
- ► Both sales account and A's account

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ► Bank charges
- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- ► Rs. 600
- ► Rs. 1,000
- ► Rs. 2,000
- ► Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

- ► Rs. 2,240
- ► Rs. 2,425
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.
► Useful economic information about the business to the external parties for sound financial decisions.
► Information to internal users about the cash position of the business.
► Information to the Securities Exchange Commission (SEC).

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

► A cash flow statement
► A retained earnings statement
► An income statement
► A balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

► Fixed assets
► Current liabilities
► Profit sharing ratio
► Long term assets

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit
► Accounts receivable is a miscellaneous category that may include loans to employees
► Accounts receivable are more formal than notes receivable
► Accounts receivable are often called trade receivables

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

► Partner's capital account
► Interest account
► Partner's current account
► Profit & Loss account

Question No: 29 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account

- ► Current Account
- ► Fluctuating Capital Account
- ► Floating Capital Account

Question No: 30 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- ► Name of company
- ► Place of registered office of company
- ► Objective of the company
- ► All of the given options

Question No: 31 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- ► Share premium account
- ► Share holder account
- ► Debtors control account
- ► Creditor control account

Question No: 32 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

- ► It will be deducted in Income Statement only
- ► It will be treated as current liability in balance sheet only
- ► It will be treated as current asset in balance sheet only
- ► Both it will be deducted in income statement and it will be treated as current liability in balance sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

- ► Sale of fixed asset
- ► Issue of debentures
- ► Cash from business operation
- ► Purchase of fixed asset

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

- ► The limited company form of business allows ownership of the business to be spread amongst many people
- ► Shareholders can appoint professionals

► Shareholders are personally liable for all the liabilities incurred by the business

► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

► Rs. 98,000
► Rs. 1, 47,000
► Rs. 2, 45,000
► Rs. 3, 43,000

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

► It may treated as a deficit
► It may treated as a surplus
► It may treated as a revenue
► None of the given options

Question No: 37 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► Cash Account & Capital Account
► Cash Account & Expense Account
► Capital Account & Revenue Account
► Capital Account & Expense Account

Question No: 38 (Marks: 1) - Please choose one

The return of goods by a customer should be debited to:

► Customer's account
► Sales return account
► Goods account
► Accounts receivable account

Question No: 39 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

- ► Revenue Expenditures
- ► Capital Expenditures
- ► Deferred Expenditures
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one

Debts that are not collectible and worthless to the creditor are known as:

- ► Doubtful debts
- ► Bad debts
- ► Provision for doubtful debts
- ► Loss

Question No: 41 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be debited while entering in journal?

- ► Cash
- ► Discount received
- ► Creditors
- ► Bank

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

- ► Left side or credit
- ► Left side or debit
- ► Right side or debit
- ► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

- ► Error of commission
- ► Error of omission
- ► Error of original entry
- ► Error of principle

Question No: 44 (Marks: 1) - Please choose one

Which of the following accounts would never be reported in the income statement as an expense?

- ► Depreciation expense
- ► Income tax expense
- ► Interest expense
- ► Dividends expense

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Question No: 45 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

- ► Title of financial statement
- ► Name of the person who prepares financial statement
- ► Period for which financial statement is prepared
- ► Name of business entity

Question No: 46 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

- ► 1:2
- ► 2:3
- ► 3:2
- ► 3:1

Question No: 47 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

- ► Revenue
- ► Net income
- ► Expense
- ► Liability

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- ► Rs.89,700
- ► Rs.94,700
- ► Rs.95,300
- ► Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

- ► 2
- ► 3
- ► 5
- ► 7

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

- ► State Bank of Pakistan
- ► Security and Exchange Commission of Pakistan
- ► Supreme Court

► Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

► To write off preliminary expenses
► To meet the expenses of issue of shares
► To distribute among the share holders
► To issue bonus shares

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

► Issued capital
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

► Current assets and other assets
► Current liabilities and current assets
► Current liabilities and plant and equipment
► Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

► Rs. 40,000 cash outflow as investing activity
► Rs. 30,000 cash outflow as investing activity
► Rs. 10,000 cash inflow as investing activity
► Rs. 70,000 cash inflow as investing activity

Question No: 55 (Marks: 3)

Why an organization is needed to prepare a cash flow statement.

Question No: 56 (Marks: 5)

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000
Tools & Equipment	8,650

Depreciation Rate:

- v Plant & Machinery @ 10%
- v Buildings @ 5%
- v Tools& Equipment @ 15%

Question No: 57 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Calculate mark up on Mr. Ali's capital for the year ending on 30th June 2008.

Question No: 58 (Marks: 10)

The following errors have been discovered in the book of a Business Concern:

1. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
2. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
3. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.
4. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
5. Rs. 300 received as a Commission was wrongly credited to Sales Account.

Required:

Pass the rectifying entries only.

Question No: 59 (Marks: 10)

Prepare Balance Sheet for the manufacturing concern as on 31st December, 2007 with the help of given data.

Particulars	Rs.
Capital	120,000
Trade Creditors	17,500
Bills payable	1,000
Sales	626,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	518,000
Carriage inwards	8,900
Discount Allowed	750
Debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700

Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650
Long term liability	4,902
Drawings	5,000

Stock as on 31st December, 2007

- Ø Raw material Stocks Rs. 31,000
- Ø Work in process Rs. 25,000
- Ø Finished Goods Rs. 53,900

Depreciation Rate:

- v Plant & Machinery is depreciated @ 10%
- v Buildings is depreciated @ 5%
- v Tools is depreciated @ 15%

Additional data

- v Reserve and bad debts is to be created at 5% on debtors.
- v Net Income for the year Rs. 75,000